

FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA,
INC.,

Complainant,

v.

SM LINE CORP.,

Respondent.

Docket No. 23-01

Served: September 29, 2026

BY THE COMMISSION: Laura DiBELLA, *Chairman*,
Rebecca F. DYE, Daniel B. MAFFEI, Max M. VEKICH,
Robert J. HARVEY, *Commissioners*.

Order on Petition to Deposit Funds

This matter is before the Federal Maritime Commission (Commission or FMC) on a petition to deposit funds filed by respondent SM Line Corporation (SM Line) following the Commission's Order on Initial Decision (Order) in a case filed by Samsung Electronics America, Inc. (SEA). SEA alleged that SM Line, an ocean common carrier, violated 46 U.S.C. §§ 41102(c), 41104(a)(14), and 41104(a)(15), mainly in connection with demurrage and detention (D&D) charges SM Line assessed on shipments of SEA containers from 2020 to 2022. The ALJ found

SM Line liable for violations of those provisions and awarded reparations of about \$1.9 million. Following exceptions filed by both sides, on August 13, 2026, the Commission affirmed the ALJ's decision in almost all respects, upholding the reparations award with a modest change to the start date for the accrual of interest. SM Line has now filed a Petition for Leave to Deposit Funds and Stop Accrual of Interest in Satisfaction of the FMC's Order on the Initial Decision and Related Reparation Award (Petition). Noting that SEA refused to accept SM Line's attempt to pay the approximately \$2.3 million that would be due if interest ran through a date shortly after the August 13 Order, SM Line asks the FMC to accept these funds and hold them in trust pending the final outcome of the matter, or at least "recogniz[e]" that SM Line has deposited the funds in its counsel's trust account, with the goal of stopping any further accrual of interest on the award.

We deny SM Line's Petition. As SM Line concedes, the FMC does not have an established practice or procedure for accepting the deposit of funds, and it is unnecessary to undertake that process here, particularly in the absence of any request from SEA. We also deny SM Line's alternative request that the FMC recognize SM Line's deposit of funds in its counsel's trust account as meeting its obligations under the Order sufficient to stop the accrual of interest. Instead, we recognize SM Line's statement that it attempted to pay SEA and then deposited the amount due on the specified date in its counsel's account as potentially relevant if SM Line were to later argue that it should owe no more interest as a result of later case events. But that issue need not be addressed now. In SEA's Opposition to Petition for Leave to Deposit Funds (Opposition), SEA also argues that the Petition amounts to a motion to reconsider the Order that may affect its finality for purposes of judicial review. *See* 28 U.S.C. §§ 2342(3)(b), 2344 (parties have 60 days to petition for judicial review of a "final order" of the FMC). We do not see SM Line's Petition as one for reconsideration, because it does not request any specific change to the August 13 Order, but in any event the effect SM Line's Petition may have on the Order's finality is not a basis to grant or deny the Petition. We

further decline SEA's invitation to issue a "new final decision" addressing the accrual of interest, as that is unnecessary at this time. Finally, we reject SEA's request that the FMC admonish SM Line for disclosing the substance of settlement negotiations, as SEA cites no specific rule or other authority providing a basis for such a sanction here.

I. BACKGROUND

A. Procedural history

In April 2023 SEA, a consignee, filed an FMC complaint alleging that SM Line, an ocean common carrier, had violated 46 U.S.C. §§ 41102(c), 41104(a)(14), and 41104(a)(15), mainly in billing D&D charges for shipments from 2020 to 2022. *See* Verified Complaint (Doc. 1) (Apr. 19, 2023); Initial Decision (Doc. 148) (May 28, 2025) at 1, 5-6. The Complaint alleged violations of section 41102(c) in connection with SM Line's billing of such charges in the course of providing inland transportation of SEA containers. *See* Initial Decision at 5-6. The Complaint also alleged violations of section 41104(a)(15) through SM Line's invoicing of such charges without including all of the information required by section 41104(d) and section 41104(a)(14) to the extent such charges did not comply with section 41102(c). *See id.* at 6.

In May 2025, the ALJ issued the Initial Decision. *See* Initial Decision. The ALJ determined that SM Line had violated 46 U.S.C. §§ 41102(c), 41104(a)(14), and 41104(a)(15) in connection with D&D charges assessed on shipments of SEA containers from 2020 to 2022, that section 41102(c) violations were proved to the extent the record showed that 115 of the D&D charges were assessed on the basis of "port congestion" or "chassis shortage," that reparations would be awarded for those violations in the amount of \$1,913,355.80, and that interest on the award would run from a date at the mid-point of the violations. SEA and SM Line filed exceptions and responses. *See* FMC Docket No. 23-01 (Docs. 149-53).

On August 13, 2026, the Commission affirmed the ALJ's decision in almost all respects. *See* Order (Doc. 157) (Aug. 13, 2026). The Order affirmed the ALJ's determinations that SM Line violated 46 U.S.C. §§ 41102(c), 41104(a)(14), and 41104(a)(15) in connection with D&D charges assessed on shipments of SEA containers from 2020 to 2022, and that reparations be awarded in the amount of \$1,913,355.80. The Order also affirmed the ALJ's award of interest under 46 U.S.C. § 41305(a) to run from a date at the mid-point of the section 41102(c) violations, but it modified the date chosen from August 21, 2021, to November 30, 2021, to better reflect the dates of the proved violations. However, the Commission rejected arguments by SEA that the award should have been higher, as well as its requests for other relief.

B. SM Line's Petition for Leave to Deposit Funds

On August 31, 2026, SM Line filed the Petition under review here, with a supporting declaration from its counsel. *See* Petition (Doc. 158) (Aug. 31, 2026); Declaration of Wook Chung in Support of SM Line's Petition to Deposit Funds (Doc. 159) (Aug. 31, 2026). SM Line explained that it had attempted to pay SEA the reparations award together with interest accrued through August 21, 2026, an amount of about \$2.3 million, but that SEA had refused to accept the payment. *See* Petition at 2-3. SM Line stated that it had instead wired the funds to its counsel's Interest on Lawyer Account (IOLA). *See id.* at 4. SM Line asked that the Commission either accept these funds to hold in trust pending final resolution of this matter, using a procedure like the one described in Federal Rule of Civil Procedure 67 (Deposit into Court), or else "recogniz[e]" SM Line's IOLA deposit "as delivery of payment in satisfaction of its obligations under the Order and effectively stop the accrual of post-judgment interest." *Id.* at 5. Noting SEA's concern that SM Line's Petition could interfere with the finality of the August 13 Order, SM Line emphasized that it was not seeking reconsideration of or any other change to that Order. *See id.* at 5-6.

In its Opposition, SEA argued that the Petition should be denied on several grounds. *See* Opposition (Doc. 160) (Sept. 8, 2026). First, SEA argued that the Petition amounted to a request to reconsider the Commission’s August 13 Order, and therefore it might affect the finality of that Order with regard to potential judicial review. *See id.* at 1-3. SEA further argued that attempting to provide a procedure like that described in Rule 67 was impractical and unnecessary here, as SM Line was free to make the kind of deposit it stated that it had made in its IOLA trust account, and the interest due would be recalculated in any event following any subsequent decision in the matter. *See id.* at 4-6. SEA suggested that if the Commission were so inclined, it could issue a “new final decision” with an interest figure and a payment deadline, which SEA argued would at least mitigate some uncertainty as to finality. *Id.* at 6-7. Finally, SEA urged the Commission to “admonish[]” SM Line for publicly disclosing details of the parties’ interactions as to settlement. *Id.* at 7-8.

II. DISCUSSION

After due consideration, we deny SM Line’s Petition.

As a preliminary matter, the Commission has discretion regarding reparation and interest matters. Title 46 U.S.C. § 41305 contains general provisions providing for the award of reparations and interest, but it does not include specific procedures applicable to the current situation. An FMC regulation explains the method for calculating interest on reparations, and it also states that “[n]ormally, the date specified within which payment must be made” will be 15 days after service of the Commission’s order awarding reparations. 46 C.F.R. § 502.253. In this case, where there was a significant possibility of judicial review, the August 13 Order did not specify a payment date.

Turning to the merits of the Petition, SM Line has failed to justify the relief sought, and we deny it. *See* Petition at 4-5. First, as SM Line acknowledges, the FMC does not have an established

practice or procedure for accepting the deposit of funds as SM Line requests here. *See id.* at 4. As SM Line also notes, federal district courts have such procedures available pursuant to Rule 67, which provides for the deposit of funds sought in a pending lawsuit, with leave of the court. *See* Fed. R. Civ. P. 67(a). However, it is unnecessary to construct and follow such a process at the Commission for this case. As SEA points out, SM Line is free to deposit such funds in its counsel's trust account, and in any event, the interest due would be subject to potential recalculation following any subsequent decision in this matter. *See* Opposition at 4-6. In addition, this is not a case where the complainant is seeking the deposit of a reparations amount to assure it of payment pending further proceedings.

We also deny SM Line's alternative request that we recognize SM Line's deposit of funds in its counsel's trust account as meeting its obligations under the August 13 Order sufficient to stop the accrual of interest. *See* Petition at 4-5. The FMC of course notes SM Line's statements, supported by its counsel's declaration, that it attempted to pay SEA and then deposited the stated amount on the specified date in its counsel's account. *See id.* at 2-4. SM Line may offer its statements to support a possible argument that it should owe no more interest than the amount it deposited, presumably in the event that SEA fails to obtain a better result through judicial review than it did before the Commission. But that issue, potentially contingent on future events, need not be addressed now.

SEA argues that SM Line's Petition amounts to a motion to reconsider the August 13 Order that may affect that Order's finality for purposes of judicial review. *See* Opposition at 1-3 (citing *Maier Terminals v. FMC*, No. 13-1028, unpublished Order (Doc. #1441186) (D.C. Cir. June 18, 2013) (matter arising from FMC Docket No. 08-03)). Under 28 U.S.C. §§ 2342(3)(b) and 2344, parties have 60 days to petition for judicial review of a "final order" of the FMC. We do not see SM Line's Petition as one for reconsideration, because it does not request any specific change to the Order. SEA identifies no specific part of the Order that SM Line

is seeking to change. But in any event, the effect SM Line's Petition may have on the August 13 Order's finality is not a basis to grant or deny the Petition. SEA cites no authority to the contrary.

We further decline SEA's invitation to issue a "new final decision" addressing the accrual of interest. Opposition at 6-7. SEA states that such an order could eliminate some, but not all, of the uncertainty it perceives as to finality here. *See id.* In any case, as explained above, addressing the interest that will ultimately be due in this matter would involve decisions that may be affected by later case events and that are unnecessary to make at this time.

Finally, we reject SEA's request that we admonish SM Line for disclosing the substance of settlement negotiations. *See* Opposition at 7-8. There may be circumstances where such public disclosure is improper or where the information involved is not admissible as evidence. *See, e.g.,* Fed. R. Evid. 408 (Compromise Offers and Negotiations). But SEA cites no specific rule or other authority providing a basis for its request that SM Line be admonished for such disclosure here. And in the absence of such authority, there is no apparent basis to sanction SM Line.

III. CONCLUSION

In response to SM Line's Petition for Leave to Deposit Funds filed on August 31, 2026, and SEA's Opposition filed on September 8, 2026, the Commission **DENIES** the Petition.

By the Commission.

David Eng
Secretary